

CRNC
CRNC N/A

Hold	\$9.76 ▼ 1.21%	12M Price Target \$11.50	52-Week Range \$5.85 – \$13.74	Market Cap \$441M
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CRNC: Voice AI Play Drifting Lower After Q2 Miss

WHAT HAPPENED

- CRNC has bled from \$10.77 to \$9.76 over five sessions on shrinking volume — that's not panic selling, that's quiet disinterest. The Q2 earnings miss back on May 8 is still hanging over the stock, and there's no fresh catalyst pulling buyers back in.
- Volume yesterday was just 255K shares vs. 2M a week ago — meaning the sellers aren't aggressive, but nobody's stepping up to buy either. Stocks die in silence like this.

WHY IT MATTERS

Here's the thing: CRNC sells voice AI software that goes into cars (think the voice assistant in your dashboard), so this stock lives or dies on global auto production. The fact that Industrials are up 2.29% today but CRNC is still down tells you the auto-supplier subsector is being left out of the rally — investors are worried that tariffs are about to hammer car production. The BYD partnership expansion is a real positive (BYD is China's biggest EV maker), but it also means CRNC is now MORE exposed to US-China trade tension, not less. Bottom line: the business is fine, but it's stuck between a slow auto cycle and a noisy competitor (SoundHound) that's stealing the AI narrative.

POLICY & POLITICAL WATCH

The big one: Trump-era auto tariffs on imported vehicles and parts are directly squeezing CRNC's customers (Ford, GM, Stellantis, VW, BYD). When automakers cut production or delay new vehicle launches to manage tariff costs, CRNC's per-vehicle royalty revenue takes a hit. Watch the ongoing US-China tech decoupling talks — if Washington adds restrictions on US software shipped to Chinese automakers, that BYD deal that just got expanded could be at risk. On the flip side, any signal that auto tariffs get softened in a trade deal would be a sharp positive for the whole auto-supplier complex.

IS IT EXPENSIVE?

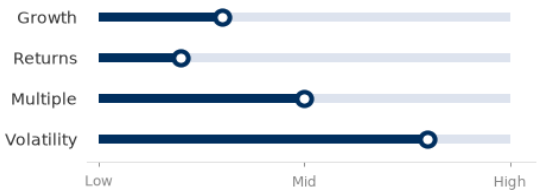
At a \$441M market cap on ~\$235M of expected revenue, you're paying roughly \$1.88 for every \$1 of sales — which is cheap for an "AI" stock but appropriate for a company that's not growing and still losing money. The stock isn't expensive, but it's not a screaming bargain either because there's no earnings power yet to anchor a valuation. Compare that to SoundHound (SOUN) which trades at like 15-20x sales — investors are saying "CRNC is the boring auto-tier-supplier version of voice AI, SOUN is the growth story."

WHAT COULD GO WRONG

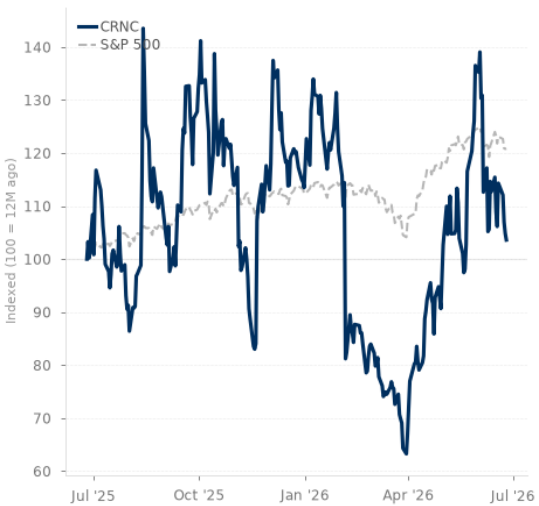
Key Data

Price (USD)	\$9.76
12M Price Target	\$11.50
Upside / (Downside)	+17.8%
Market Cap	\$441M
FY2026E Revenue	\$235M
FY2027E Revenue	\$250M
FY2026E EPS	(\$0.45)
FY2027E EPS	(\$0.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$11.00	\$9.75	\$8.50
6 Months	\$13.50	\$10.50	\$7.50
1 Year	\$16.00	\$11.50	\$6.50
2 Years	\$20.00	\$13.00	\$5.50
5 Years	\$28.00	\$16.00	\$4.00
10 Years	\$40.00	\$20.00	\$3.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Industrials (+2.29%) and Healthcare (+4.37% over 5 days) are leading — Industrials are catching a bid on infrastructure spending hopes and a softer-tariff narrative.

COOLING OFF: Energy is rolling over (-0.36% over 5 days) on oil price weakness, and auto-suppliers within Industrials are NOT participating in the broader rally — that's the tell for CRNC.

ROTATION WATCH: Money is moving into defensive growth (healthcare, utilities up 3.82% over 5 days) which suggests investors are nervous about the economy — not great for cyclical auto names like CRNC.

RELATED PLAY: If you believe in the in-car AI thesis, NVIDIA's automotive segment and Mobileye (MBLY) are bigger, more liquid ways to play the same trend without single-stock blow-up risk.

WHO'S WINNING IN THIS SPACE?

- SOUN (SoundHound AI): Stealing CRNC's "voice AI" narrative — investors prefer the pure-play growth story over the legacy auto-supplier angle.
- MBLY (Mobileye): Broader auto-tech exposure with actual scale; getting credit for autonomous driving optionality.

CRNC CONTEXT: CRNC is clearly lagging — it's the "value trap" version of voice AI right now. Until they show two consecutive quarters of revenue growth, the market will keep favoring SOUN. That said, the institutional ownership at 81% (with BlackRock holding 9.2%) means there's a floor here — big money isn't bailing.

WHAT I'D DO WITH THIS STOCK

4/10 Conviction Score

CONVICTION: 4/10 — Cautiously watching, not buying. The bullish options flow (put/call of 0.39, meaning traders are betting on upside) is interesting but small.

POSITION SIZE: 1-2% max — this is a speculative auto-tech turnaround, not a core holding.

ENTRY POINTS: I'd wait for \$8.50-9.00 on a broad auto-sector flush, or for confirmation the LLM deals are translating to real revenue growth (next earnings).

TIME HORIZON: 12-18 months — you need the next two earnings reports to validate the BYD/LLM story.

WHEN TO BAIL: Below \$7 on heavy volume, or any guidance cut, or news that a top-5 OEM customer is exploring alternatives.

HEDGING: Don't oversize it — that's the best hedge. If you want to get fancy, pair a small CRNC long with a small SOUN short to bet on convergence between the two voice AI names.